

# THE GEM INDUSTRY

For thousands of years, diamonds were incredibly rare, but the discovery and mining of huge diamond deposits in South Africa in 1870 not only changed the availability of the coveted rocks, but marked the beginnings of the modern gem industry. Thanks to these mines, world diamond production exceeded 1 million carats per year for the first time in 1871; by 1907 it had reached 5 million carats, and it steadily increased throughout the century, hitting 126 million carats in 2000. Supplies were overflowing as new mines in Angola, DR Congo, West Africa, Botswana, Russia, Australia, and Canada contributed to rising output.

Abundant supply should have driven prices down, but the diamond producers acted quickly to maintain the value of their precious commodity. The British conglomerate behind the South African mines formed the De Beers cartel in 1888 to control every aspect of the new diamond trade, from production to marketing. The gem trade as it now exists was born as a result, with market prices dictated by the diamond cartel's strict control of supply and demand, while De Beers' slogan, "A Diamond is Forever", also helped to make diamonds synonymous with love and marriage.

**There was no brand  
name to be impressed  
on the public mind.  
There was simply  
an idea**

**N W Ayer**

De Beers Advertising Agency

#### **Workers sort diamonds at the De Beers' mine in South Africa**

Before 1870, diamonds came from riverbed deposits, mostly in India, Indonesia, and Brazil, but the De Beers mines were primary deposits, yielding diamonds directly from their source in the Earth.

